

Characteristics of Real Estate

Real property includes real estate (land and anything naturally or artificially attached to it), as well as the interests, benefits, and rights automatically included with real estate ownership. We refer to both physical and economic characteristics when we discuss the concept of land.

Economic

Scarcity, improvements, permanence of investment, and location or area preference are all economic characteristics that impact the value of land.

- **Scarcity:** It's true what they say-you can't make more land. In addition, not all land is suitable or available for building. If land is scarce, its value will likely be greater than if it is plentiful.
- **Improvements:** Usually, the term "improvement" refers to making something better. In the real estate world, improvements are structures, such as buildings, sheds, barns, fences, etc., that are placed on land. The condition and types of improvements on a property can impact value either positively or negatively. Improvements can also positively or negatively impact the value of surrounding properties or an entire community. For example, something as simple as a rundown house in a neighborhood can have an adverse impact on the value of neighboring properties. Proximity to commercial or industrial properties can adversely impact the value of entire neighborhoods or communities.
- **Permanence of investment:** The cost and nature of infrastructure improvements (roads, underground water, wastewater, natural gas, or electric installations) are sizeable and can't be easily reversed, and these infrastructure investments have relatively stable returns over time. Thus, these types of improvements represent "permanence."
- **Location or area preference:** A property's value is in large part dependent on its situs (location). For example, land on one side of a river may be perceived to be more valuable than land directly across the same river.

Physical

Immobility, indestructibility, and uniqueness are all physical characteristics.

- **Immobility:** The geographic location of land is fixed; it can never be changed.
- **Indestructibility:** While improvements may deteriorate over time, the land itself cannot be destroyed.
- **Uniqueness:** One parcel (a piece of land) will not be exactly like another. This is the concept of non-homogeneity.